

China Lithium

2025 Outlook: From loss making to small profit

- ◆ After declining for two years, we expect lithium prices to stabilise with low-cost producers returning to profit
- ◆ We are cautious about the short term due to seasonality but are optimistic about demand from 2Q25 onwards
- ◆ Ganfeng-H/A TP cut to HKD31/RMB43 (from HKD34/RMB46), Tianqi-H/A to HKD34/RMB46 (from HKD36/RMB50); both Buy

Oversupply may persist in 2025 but with some positive changes: 1) On supply, we expect supply growth to moderate at 11% in 2025 (vs. 2021-24 CAGR of 35%) due to supply cuts and project cancellation. Based on our estimate, spodumene supply from Australia may decline by 1-4% in 2025 (see, [Lithium 2025 outlook: Light at the end of the tunnel](#), 8 Jan 2025); **2) On demand,** we expect EV subsidy extension in China with EV sales +20% y-o-y in 2025e and improving global ESS battery demand (installed capacity of 270GWh in 2025e) to support lithium demand growth of 14% (see, [The battle of attrition reaches the knockout stage](#), 7 Jan 2025).

Cautious about the short term but more optimistic about demand from 2Q25:

We expect lithium demand to decline in 1Q25 due to seasonality and EV pre-sales impact in 4Q24. However, we expect demand to recover in March amid ongoing EV subsidy and higher cathode materials production in preparation of peak season in April-May, any potential stimulus on EVs, and ESS demand consumption at NPC meeting in March would be upside risks.

Stable lithium prices increase investment appeal: We expect stable lithium prices in 2025 as the current price is close to the cost of marginal producers. Further price declines could trigger a new round of supply cuts. Among our coverage, we have favourable views on: **1) Trade on earnings improvement from loss making:** We expect Ganfeng and Tianqi to turn profitable in 2025. The higher-cost raw materials were consumed in 2024; hence, no inventory impairment is required. According to our estimates, a 1% change in lithium price leads to a c5% change in earnings for Ganfeng and Tianqi. **2) Trade on cost saving:** As lithium price stabilises, producers with cost advantage should outperform. We like Ganfeng as we expect average cost to trend down gradually with more output from its self-owned upstream projects (C-O and Mali), while Tianqi's Greenbushes continue to be one of the lowest cost mines in the world. We maintain Buys on Ganfeng-H/A and Tianqi-H/A but cut earnings and target prices after incorporating 9M24 reported earnings and the latest outlook.

Ganfeng and Tianqi H/A: target prices, ratings, and key data

Company	Ticker	Currency	Current price	TP		Rating		Upside/downside	Market cap (USDbn)	3m ADTV (USDm)	2025e P/E (x)	2025e P/B (x)	2025e Div. yield
				Old	New	Old	New						
Ganfeng Lithium - H	1772 HK	HKD	21.00	34.00	31.00	Buy	Buy	47.6%	8.8	28.0	24.5	0.8	0.4%
Ganfeng Lithium - A	002460 CH	RMB	35.06	46.00	43.00	Buy	Buy	22.6%	8.8	225.9	43.4	1.5	0.2%
Tianqi Lithium - H	9696 HK	HKD	24.40	36.00	34.00	Buy	Buy	39.3%	7.2	7.0	32.8	0.6	0.0%
Tianqi Lithium - A	002466 CH	RMB	33.05	50.00	46.00	Buy	Buy	39.2%	7.2	206.1	47.2	0.9	0.0%

Source: Bloomberg, HSBC estimates. Priced as of close at 16 Jan 2025

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Light at the end of the tunnel

- ◆ The huge supply wave from hard rock projects is likely behind us on completion of ramp-up and slowdown in capacity adds
- ◆ Despite short-term concerns, demand outlook is more encouraging in the medium term on possible downstream capacity expansion
- ◆ With supply additions fading, excess inventories can be worked down through 2025, paving the way for recovery in the second half

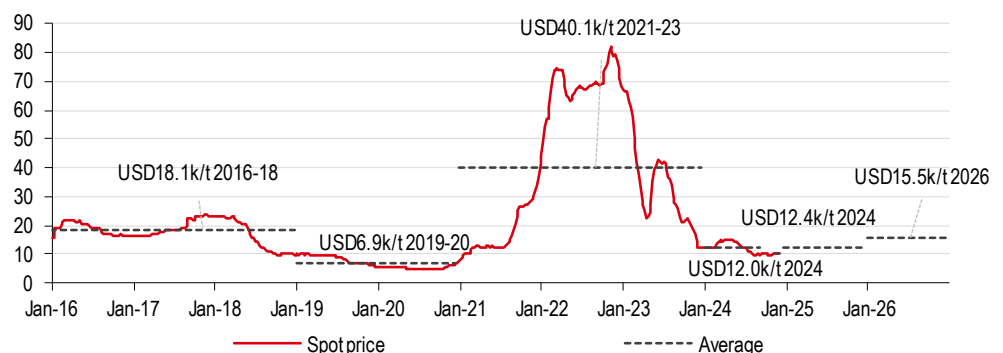
Our price forecast implies c20% recovery off spot

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We see 2025 as a year of recovery, with supply growing at a moderate 11% vs a CAGR of 35% over the past three years. The huge wave of supply addition from the commissioning of new hard rock projects in Africa, Australia and China over the last two years is mostly behind us as many of these projects had ramped up to full capacity by mid-2024. With supply additions fading, recovery could be weighted more towards 2H as inventories get worked down.

Prices poised for recovery after two years of declining trend



Source: Bloomberg, HSBC

HSBC price forecasts

Price forecasts	2021	2022	2023	1Q24	2Q24	3Q24	4Q24e	2024e	1Q25e	2Q25e	3Q25e	4Q25e	2025e	2026e
China BG lithium carbonate 99.5% (USD/kg)	18.7	71.1	35.9	14.2	14.6	11.1	10.6	12.6	11.5	12.0	12.5	13.5	12.4	15.5
Asia lithium carbonate 99.5%(USD/kg)	13.3	49.9	46.8	15.5	13.7	11.5	9.8	12.6	12.0	13.0	12.5	13.5	12.8	15.5
Asia lithium hydroxide (USD/kg)	14.5	51.9	49.3	15.8	13.9	11.9	10.5	13.0	12.5	14.0	13.5	14.8	13.7	17.5
Australia spodumene 6.0% (USD/dmt)	946	4183	3809	1070	1188	856	770	971	805	840	813	945	851	1008
Spodumene/Asia CIF	7.1%	8.4%	8.1%	6.9%	8.7%	7.5%	7.9%	7.7%	6.7%	6.5%	6.5%	6.5%	6.7%	6.5%

Delta vs previous forecasts

China BG lithium carbonate 99.5% (USD/kg)	-6%	-3%	-1%	7%	14%	6%	6%	0%
Asia lithium carbonate 99.5%(USD/kg)	-17%	-7%	-5%	7%	14%	6%	5%	0%
Ex-China lithium hydroxide (USD/kg)	-11%	-4%	-8%	6%	13%	4%	3%	0%
Australia spodumene 6.0% (USD/dmt)	-3%	0%	-1%	7%	14%	6%	6%	0%

Source: HSBC estimates, Bloomberg for actuals

Lithium SD model summary

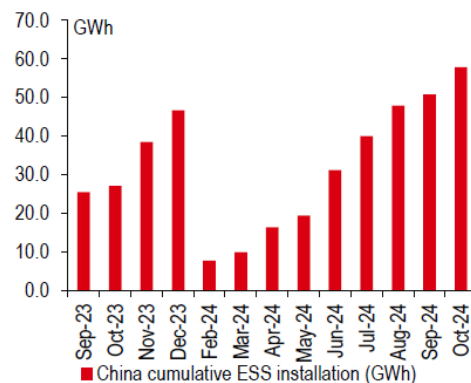
(k tonnes)	2021	2022	2023	2024e	2025e	2026e	2027e
Supply (k tonnes, LCE)	568	773	1,029	1,423	1,589	1,735	1,990
Total demand (k tonnes, LCE)	504	919	912	1,239	1,407	1,623	1,934
Surplus / (Deficit)	64	-146	117	184	175	102	45
Surplus / (Deficit) - % of demand	13%	-16%	13%	15%	12%	6%	2%

Source: HSBC estimates, Company reports, Woodmac

Medium-term demand outlook is more promising

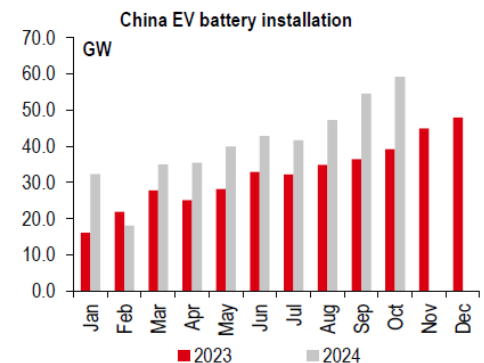
HSBC's China autos team sees 1Q25 EV sales softening given seasonality as well as front-loading of sales during 4Q24 (See [China EVs: Facing a minor speed bump in 1Q](#), 07 Jan 2025). Despite short-term demand concerns in 1Q25, our China battery team expects LIB industry utilisation to continue to improve in 2025 as concerns of a potential tariff hike by the US on Chinese battery exports could trigger battery restocking demand in overseas markets. Key battery suppliers in China have announced new capacity plans in 3Q24 that could eventually lift demand for battery materials outside China.

China ESS installations up 113% y-o-y in 10M24



Source: CNESA, HSBC Qianhai Securities

China EV battery installations up c50% y-o-y over Sep-Oct 2024



Source: CNESA, HSBC Qianhai Securities

Net capacity adds slowing down

What has changed? The biggest relief comes from production cuts in Australia and China (lepidolite), and to some extent in Africa, which leads us to believe that net supply growth from the above sources, which represent c65% of global supply, is likely to be marginally higher in 2025 (c5% vs previous estimates of c15% growth). While there are 4-5 new hard rock projects in Africa and China that are yet to commence production, their commissioning or ramp-up is highly subject to pricing conditions in 2025. Hence most of the firm supply increase (c91ktpa) are concentrated in a handful of brine projects in China and South America.

New mine/brine capacity set to commission through 2025

New capacities	Capacity (LCE kt)	Production	Classification	Assumed start-up
Goulamina - phase 1	63	26	Possible	2Q25
Kamativi - phase 2	33	10	Possible	2Q25
Xinjiang Nonferrous Metal	30	8	Probable	Status not known
Huashan - Yongxing New Energy	50	21	Firm	Mid 2025
Maerkang - Zhonghe	30	0	Probable	Status not known
Eramet	24	8	Firm	3Q24
POSCO	25	9	Firm	3Q24
Mariana	20	9	Firm	1Q25
Total	276	91		

Source: HSBC Research, Company reports

Regional outlook

- ◆ **Australia:** Production cuts and guidance by Australian producers imply a 0-4% decline in net spodumene supply in 2025, which is c17% below our previous estimates. Pilbara, the second lowest cost producer in Australia after Greenbushes, has shut its Nuangagu plant and has guided for a 10% lower production while high-cost producers like Mineral Resources closed the Bald Hill plant and slashed production at Mt Marion by 24%.

Production at key spodumene projects in Australia, Brazil, and Canada (k dmt)

Project	2024 supply	2025e production	2025e (before supply cuts)	% change	Absolute change
Mt Marion	669	480	700	-28%	-31%
Wodgina	428	500	500	17%	0%
Bald Hill	141	-	170	-100%	-100%
Pilbara	825	720	800	-13%	-10%
Greenbushes	1,378	1,400	1,550	2%	-10%
Mt Cattlin	180	80	180	-56%	-56%
Mt Holland	160	300	300	88%	0%
Kathleen Valley	88	300	300	243%	0%
Finnis Lithium	62	-	62	-100%	-100%
Sayona NAL (Canada)	156	198	198	27%	0%
Sigma - Brazil	265	264	264	0%	0%
Total	4,351	4,242	5,025	-3%	-16%

Source: HSBC estimates, Company reports

* Sales may be higher due to inventory liquidation

- ◆ **China:** Major capacity cuts and delays by lepidolite producers like CATL (300750 CH, Buy, CNY249.93) and Zijing Mining (2899 HK, Buy, HKD14.84) will see incremental capacity from lepidolite source cut by two-thirds in 2025, with only Yongxin's Baihuashuan project planned for commissioning by mid-2025. Among the spodumene producers, Xinjiang Nonferrous has recently commissioned its phase 1 of lithium carbonate plant in June, so the next phase of expansion is less likely to come online before 2025. The company is also facing qualifying issues following a US ban due to its presence in Xinjiang region.

- ◆ **Africa:** Ganfeng (1772 HK, Buy, HKD21) has commissioned production at the Goulamina mine in late December 2024 while Kodal Minerals (KOD LN, GBX0.405, not rated) plans to commission its Bogouni project by 1Q25. The other projects that commissioned over the last two years have ramped up to full capacity by mid-2024 and in fact some of them were curtailing production at the mines due to low prices. Hence, we think the low hanging fruit of converting existing tantalum or tin mines to produce lithium (Arcadia, Bikita, Sabi) will be mostly over once Goulamina is ramped up.

African projects

Operator	Project	Status	Concentrate capacity (k dmt)	LCE capacity (ktpa)	Comments
Huayu Cobalt	Arcadia	Operating	450	50	Refinery in China reached design capacity during 2Q24
Sinomine	Bikita	Operating	600	66	Design capacity reached in November 2023. Halted mining activities in October 2024 at petalite mine due to low prices
Chengxin	Sabi	Operating	200	25	Achieved design capacity in May 2024
African Premier	Zulu	Operating	48	5	Facing production issues and the company is seeking buyers for the project
Yahua	Kamativi - Phase 1	Operating	50	6	Up and running
Yahua	Kamativi - Phase 1	Pre-commissioning	300	33	Commissioning planned in 4Q2024, but more likely to be pushed out due to low prices
Ganfeng	Goulamina	Commissioning	506	63	Completed construction in November 2024 and commissioned in December 2024
Kodal Minerals	Stage 1 Bogouni	Pre-commissioning	125	13	Commissioning planned for 1Q25
Total			2,279	261	

Source: HSBC estimates, Company reports

Ganfeng – H/A (1772 HK / 002460 CH)

Key earning estimate changes

After incorporating 9M24 reported earnings, latest lithium prices forecast, demand outlook, and capacity expansion progress, we now forecast a net loss of RMB50m in 2024 and cut our earnings estimates by 79%/66% for 2025/26, respectively.

Ganfeng Lithium – changes to our estimates and comparison with consensus

RMBbn	New Estimates			Old Estimates			Difference			Consensus Forecasts			Difference		
	2024e	2025e	2026e	2024e	2025e	2026e	2024e	2025e	2026e	2024e	2025e	2026e	2024e	2025e	2026e
Sales	17,422	16,573	19,234	23,578	28,987	33,388	-26%	-43%	-42%	19,167	22,733	27,335	-9%	-27%	-30%
Gross profit	2,196	4,665	6,397	7,087	10,579	12,803	-69%	-56%	-50%	2,331	4,316	5,540	-6%	8%	15%
GM (%)	13%	28%	33%	30%	36%	38%	-17.5ppt	-8.3ppt	-5.1ppt	12%	19%	20%	0.4ppt	9.2ppt	13.0ppt
Operating income	276	2,545	4,277	4,767	8,259	10,483	-94%	-69%	-59%	1,020	2,839	4,145	-73%	-10%	3%
Profit before tax	-54	1,927	3,838	5,735	9,128	11,405	-101%	-79%	-66%	116	2,410	3,983	-147%	-20%	-4%
Net income	-50	1,631	3,247	4,960	7,722	9,649	-101%	-79%	-66%	160	2,128	3,624	-131%	-23%	-10%
EPS (RMB)	-0.02	0.81	1.61	2.46	3.84	4.79	-101%	-79%	-66%	0.19	1.06	1.81	-113%	-24%	-11%

Source: Bloomberg consensus forecasts, HSBC estimates

Valuation and risks

We maintain our Buy ratings on both Ganfeng-H/A but lower our target prices. For Ganfeng H shares our target price goes to HKD31.00 (from HKD34.00). We change our valuation methodology from a target P/E multiple to a target P/B multiple as we expect earnings to stabilise in 2025 (after declining for two years) but the path of earnings recovery, especially in 2026, could be volatile. Therefore, we believe using a target P/B methodology better reflects the company's asset value amid uncertainties. Our target P/B of 1.2x (previously 8.0x P/E) is 0.75 SD below the stock's historical average since 2019 given that the cycle remains at a low point. We apply the multiple to our 2026e BVPS of RMB24.83 (previously 2025e EPS of RMB3.84), derived using our FX team's end-2025e RMB-HKD rate of 1.05 (previously 1.10). Our new target price implies c48% upside from the current share price.

We lower our target price for Ganfeng A shares to RMB43.00 (from RMB46.00). We also change our valuation methodology to target P/B. Our revised target price is derived by applying a new target forward P/B of 1.75x (previously 12.0x P/E) to our 2026e BVPS of RMB24.83 (previously 2025e EPS of RMB3.84). Our target P/B of 1.75x is also 0.75 SD below the stock's historical average since 2019. Our new target price implies c23% upside from current levels.

Downside risks: 1) Longer-than-expected ramp-up time of its upstream projects, lithium chemical plants and battery plants; 2) trade tension between China and Australia could impact spodumene imports; 3) lower-than-expected demand growth from EV and ESS; and 4) lower-than-expected investment income amid lower lithium price.

Tianqi – H/A (9696 HK / 002466 CH)

Key earning estimate changes

After incorporating 9M24 reported earnings, latest lithium price forecasts, demand outlook, and capacity expansion progress, we now forecast a net loss of RMB5.3bn in 2024 and cut our earnings estimates by 83%/70% for 2025/26, respectively.

Tianqi Lithium – changes to our estimates and comparison with consensus

RMBm	New Estimates			Old Estimates			Difference			Consensus Forecasts			Difference		
	2024e	2025e	2026e	2024e	2025e	2026e	2024e	2025e	2026e	2024e	2025e	2026e	2024e	2025e	2026e
Sales	13,221	12,941	17,066	14,473	20,095	22,474	-9%	-36%	-24%	13,525	13,931	16,316	-2%	-7%	5%
Gross profit	6,348	5,867	9,328	7,502	12,219	13,007	-15%	-52%	-28%	6,546	6,246	8,000	-3%	-6%	17%
GM (%)	48.0%	45.3%	54.7%	51.8%	60.8%	57.9%	-3.8ppt	-15.5ppt	-3.2ppt	48.4%	44.8%	49.0%	-0.4ppt	0.5ppt	5.6ppt
Operating income	5,696	5,229	8,487	7,249	11,868	12,615	-21%	-56%	-33%	6,505	6,680	7,527	-12%	-22%	13%
Profit before tax	4,190	6,727	10,217	7,476	13,697	14,621	-44%	-51%	-30%	6,116	8,533	9,583	-31%	-21%	7%
Net income	(5,251)	1,148	2,612	2,302	6,765	8,802	-328%	-83%	-70%	(4,681)	2,111	3,259	12%	-46%	-20%
EPS (RMB)	(3.20)	0.70	1.59	1.40	4.13	5.37	-328%	-83%	-70%	(2.91)	1.38	1.96	10%	-49%	-19%

Source: Bloomberg consensus forecasts, HSBC estimates

Valuation and risks

We maintain our Buy ratings on Tianqi Lithium's H and A shares as Tianqi is a fully integrated producer with superior cost leadership. We lower our target price for the Tianqi H shares to HKD34.00 (from HKD36.00). We change our valuation methodology from a target P/E multiple to a target P/B multiple as we expect earnings to stabilise in 2025 (after declining for two years) but the path of earnings recovery, especially in 2026, could be volatile. Therefore, we believe using a target P/B methodology better reflects the company's asset value amid uncertainties. Our target P/B of 0.80x (previously 8.0x P/E) is 0.75 SD below the stock's historical average since it listed in 2022 given that the cycle remains at a low point. We apply the multiple to our 2026e BVPS of RMB40.22 (previously 2025e EPS of RMB4.13), derived using our FX team's end-2025e RMB-HKD rate of 1.05 (previously 1.10). Our new target price implies c39% upside from the current share price.

We lower our target price for the Tianqi A shares to RMB46.00 (from RMB50.00). We also change our valuation methodology to a target P/B multiple. Our revised target price is derived by applying a new target forward P/B of 1.15x (previously 12.0x P/E) to our 2026e BVPS of RMB40.22 (previously 2025e EPS of RMB4.13). Our target P/B of 1.15x is also 0.75 SD below the stock's historical average since 2019. Our new target price implies c39% upside from current levels.

Our target P/B applied to Tianqi-H/A is lower than to Ganfeng-H/A due to: 1) Tianqi's lithium concentrates and lithium compounds businesses are significantly affected by lithium price trends. We expect Tianqi to take a longer time than Ganfeng to turn loss into profit. 2) The SQM issue remains uncertain. Therefore, we adopt a lower P/B multiple on Tianqi H/A.

Downside risks: 1) Trade tensions between China and Australia could impact self-produced spodumene imports; 2) delays in lithium compound capacity expansion; 3) lower-than-expected demand growth from EV and ESS; and 4) potential impairment loss from investment on SQM.

Financials & valuation: Ganfeng Lithium

Buy

Financial statements

Year to	12/2023a	12/2024e	12/2025e	12/2026e
Profit & loss summary (CNYm)				
Revenue	32,812	17,422	16,573	19,234
EBITDA	2,942	1,663	4,437	6,644
Depreciation & amortisation	-846	-1,387	-1,892	-2,366
Operating profit/EBIT	2,096	276	2,545	4,277
Net interest	-784	-966	-1,106	-1,106
PBT	5,294	-54	1,927	3,838
HSBC PBT	5,294	-54	1,927	3,838
Taxation	-683	3	-193	-384
Net profit	4,983	-50	1,631	3,247
HSBC net profit	4,983	-50	1,631	3,247
Cash flow summary (CNYm)				
Cash flow from operations	146	5,966	5,219	6,437
Capex	-8,646	-10,000	-10,000	-10,000
Cash flow from investment	-10,183	-10,000	-10,000	-10,000
Dividends	-2,017	-1,614	-163	-163
Change in net debt	12,186	6,614	5,886	4,832
FCF equity	-8,500	-4,034	-4,781	-3,563
Balance sheet summary (CNYm)				
Intangible fixed assets	16,748	16,748	16,748	16,748
Tangible fixed assets	24,954	33,567	41,675	49,309
Current assets	28,184	16,528	9,546	5,374
Cash & others	9,294	3,679	-2,207	-7,039
Total assets	91,698	88,655	89,781	93,242
Operating liabilities	13,615	11,236	10,628	10,798
Gross debt	25,190	26,190	26,190	26,190
Net debt	15,896	22,510	28,396	33,228
Shareholders' funds	47,034	45,371	47,001	50,085
Invested capital	46,978	51,928	59,549	67,671

Ratio, growth and per share analysis

Year to	12/2023a	12/2024e	12/2025e	12/2026e
Y-o-y % change				
Revenue	-20.7	-46.9	-4.9	16.1
EBITDA	-84.3	-43.5	166.7	49.7
Operating profit	-88.5	-86.8	821.8	68.0
PBT	-76.8	-101.0	99.1	99.1
HSBC EPS	-75.7	-101.0	99.1	99.1
Ratios (%)				
Revenue/IC (x)	0.8	0.4	0.3	0.3
ROIC	4.5	0.5	4.1	6.1
ROE	10.9	-0.1	3.5	6.7
ROA	6.2	1.0	3.1	4.9
EBITDA margin	9.0	9.5	26.8	34.5
Operating profit margin	6.4	1.6	15.4	22.2
EBITDA/net interest (x)	3.8	1.7	4.0	6.0
Net debt/equity	30.4	44.4	54.2	59.7
Net debt/EBITDA (x)	5.4	13.5	6.4	5.0
CF from operations/net debt	0.9	26.5	18.4	19.4
Per share data (CNY)				
EPS Rep (diluted)	2.47	-0.02	0.81	1.61
HSBC EPS (diluted)	2.47	-0.02	0.81	1.61
DPS	0.80	0.00	0.08	0.16
Book value	23.36	22.49	23.30	24.83

Key forecast drivers

Year to	12/2023a	12/2024e	12/2025e	12/2026e
Lithium metal sales volume (kt)	102	123	132	138
ASP ('000 RMB/t)	239	97	85	100
Consumer Battery sales volume (unit)	279,428	147,000	110,250	112,700
ASP ('000 RMB/unit)	16	15	13	12

Valuation data

Year to	12/2023a	12/2024e	12/2025e	12/2026e
EV/sales	1.9	3.9	4.5	4.1
EV/EBITDA	20.9	41.0	16.7	11.9
EV/IC	1.3	1.3	1.2	1.2
PE*	8.0	nm	24.5	12.3
PB	0.8	0.9	0.8	0.8
FCF yield (%)	-13.2	-6.2	-7.4	-5.5
Dividend yield (%)	4.0	0.0	0.4	0.8

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2023a	Governance Indicators	12/2024a
GHG emission intensity*	214.2	No. of board members	10
Energy intensity*	325.1	Average board tenure (years)	7.0
CO ₂ reduction policy	Yes	Female board members (%)	40
Social Indicators		Board members independence (%)	40
Employee costs as % of revenues	5.7		
Employee turnover (%)	49.5		
Diversity policy	Yes		

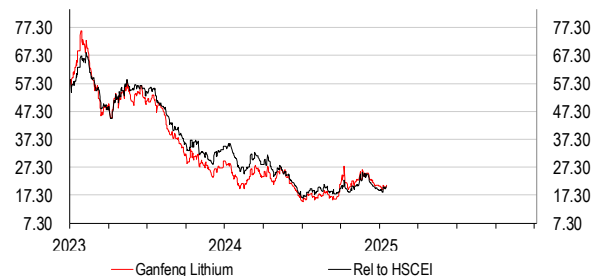
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (HKD)	21.00	Free float	88%
Target price (HKD)	31.00	Sector	Metals & Mining
RIC (Equity)	1772.HK	Country/Region	China
Bloomberg (Equity)	1772 HK	Analyst	Howard Lau, CFA
Market cap (USDm)	8,805	Contact	+852 2996 6625

Price relative



Source: HSBC

Note: Priced at close of 16 Jan 2025

Financials & valuation: Ganfeng Lithium A

Buy

Financial statements

Year to	12/2023a	12/2024e	12/2025e	12/2026e
Profit & loss summary (CNYm)				
Revenue	32,812	17,422	16,573	19,234
EBITDA	2,942	1,663	4,437	6,644
Depreciation & amortisation	-846	-1,387	-1,892	-2,366
Operating profit/EBIT	2,096	276	2,545	4,277
Net interest	-784	-966	-1,106	-1,106
PBT	5,294	-54	1,927	3,838
HSBC PBT	5,294	-54	1,927	3,838
Taxation	-683	3	-193	-384
Net profit	4,983	-50	1,631	3,247
HSBC net profit	4,983	-50	1,631	3,247
Cash flow summary (CNYm)				
Cash flow from operations	146	5,966	5,219	6,437
Capex	-8,646	-10,000	-10,000	-10,000
Cash flow from investment	-10,183	-10,000	-10,000	-10,000
Dividends	-2,017	-1,614	-163	-163
Change in net debt	12,186	6,614	5,886	4,832
FCF equity	-8,500	-4,034	-4,781	-3,563
Balance sheet summary (CNYm)				
Intangible fixed assets	16,748	16,748	16,748	16,748
Tangible fixed assets	24,954	33,567	41,675	49,309
Current assets	28,184	16,528	9,546	5,374
Cash & others	9,294	3,679	-2,207	-7,039
Total assets	91,698	88,655	89,781	93,242
Operating liabilities	13,615	11,236	10,628	10,798
Gross debt	25,190	26,190	26,190	26,190
Net debt	15,896	22,510	28,396	33,228
Shareholders' funds	47,034	45,371	47,001	50,085
Invested capital	46,978	51,928	59,549	67,671

Ratio, growth and per share analysis

Year to	12/2023a	12/2024e	12/2025e	12/2026e
Y-o-y % change				
Revenue	-20.7	-46.9	-4.9	16.1
EBITDA	-84.3	-43.5	166.7	49.7
Operating profit	-88.5	-86.8	821.8	68.0
PBT	-76.8	-101.0	99.1	99.1
HSBC EPS	-75.7	-101.0	99.1	99.1
Ratios (%)				
Revenue/IC (x)	0.8	0.4	0.3	0.3
ROIC	4.5	0.5	4.1	6.1
ROE	10.9	-0.1	3.5	6.7
ROA	6.2	1.0	3.1	4.9
EBITDA margin	9.0	9.5	26.8	34.5
Operating profit margin	6.4	1.6	15.4	22.2
EBITDA/net interest (x)	3.8	1.7	4.0	6.0
Net debt/equity	30.4	44.4	54.2	59.7
Net debt/EBITDA (x)	5.4	13.5	6.4	5.0
CF from operations/net debt	0.9	26.5	18.4	19.4
Per share data (CNY)				
EPS Rep (diluted)	2.47	-0.02	0.81	1.61
HSBC EPS (diluted)	2.47	-0.02	0.81	1.61
DPS	0.80	0.00	0.08	0.16
Book value	23.36	22.49	23.30	24.83

Key forecast drivers

Year to	12/2023a	12/2024e	12/2025e	12/2026e
Lithium metal sales volume (kt)	102	123	132	138
ASP ('000 RMB/t)	239	97	85	100
Consumer Battery sales volume (unit)	279,428	147,000	110,250	112,700
ASP ('000 RMB/unit)	16	15	13	12

Valuation data

Year to	12/2023a	12/2024e	12/2025e	12/2026e
EV/sales	1.9	3.9	4.5	4.1
EV/EBITDA	20.9	41.0	16.7	11.9
EV/IC	1.3	1.3	1.2	1.2
PE*	14.2	nm	43.4	21.8
PB	1.5	1.6	1.5	1.4
FCF yield (%)	-13.2	-6.2	-7.4	-5.5
Dividend yield (%)	2.3	0.0	0.2	0.5

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2023a	Governance Indicators	12/2024a
GHG emission intensity*	214.2	No. of board members	10
Energy intensity*	325.1	Average board tenure (years)	7.0
CO ₂ reduction policy	Yes	Female board members (%)	40
Social Indicators		Board members independence (%)	40
Employee costs as % of revenues	5.7		
Employee turnover (%)	49.5		
Diversity policy	Yes		

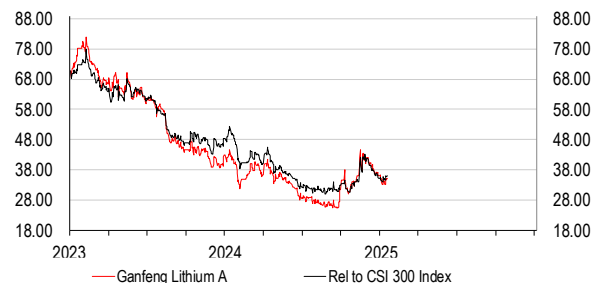
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (CNY)	35.06	Free float	65%
Target price (CNY)	43.00	Sector	Metals & Mining
RIC (Equity)	002460.SZ	Country/Region	China
Bloomberg (Equity)	002460 CH	Analyst	Howard Lau, CFA
Market cap (USDm)	8,805	Contact	+852 2996 6625

Price relative



Source: HSBC

Note: Priced at close of 16 Jan 2025

Financials & valuation: Tianqi Lithium

Buy

Financial statements

Year to	12/2023a	12/2024e	12/2025e	12/2026e
Profit & loss summary (CNYm)				
Revenue	40,448	13,221	12,941	17,066
EBITDA	34,488	5,946	5,498	8,777
Depreciation & amortisation	-846	-249	-270	-290
Operating profit/EBIT	33,642	5,696	5,229	8,487
Net interest	-550	-314	-314	-314
PBT	36,262	4,190	6,727	10,217
HSBC PBT	36,262	4,190	6,727	10,217
Taxation	-10,618	-1,227	-1,970	-2,992
Net profit	7,278	-5,251	1,148	2,612
HSBC net profit	7,278	-5,251	1,148	2,612
Cash flow summary (CNYm)				
Cash flow from operations	22,688	7,894	5,387	7,170
Capex	-4,443	-2,000	-2,000	-2,000
Cash flow from investment	-4,427	-2,830	-2,365	-2,466
Dividends	-4,922	-2,215	0	-564
Change in net debt	4,954	-800	-3,087	-5,253
FCF equity	18,245	5,894	3,387	5,170
Balance sheet summary (CNYm)				
Intangible fixed assets	572	572	572	572
Tangible fixed assets	21,400	23,150	24,881	26,591
Current assets	19,203	16,037	19,183	25,440
Cash & others	9,568	10,368	13,455	18,708
Total assets	74,969	75,289	79,786	86,890
Operating liabilities	6,959	7,361	7,466	7,810
Gross debt	10,481	10,481	10,481	10,481
Net debt	913	113	-2,974	-8,227
Shareholders' funds	53,209	53,957	58,715	65,939
Invested capital	24,647	22,030	23,715	26,084

Ratio, growth and per share analysis

Year to	12/2023a	12/2024e	12/2025e	12/2026e
Y-o-y % change				
Revenue	0.7	-67.3	-2.1	31.9
EBITDA	0.4	-82.8	-7.5	59.6
Operating profit	-0.1	-83.1	-8.2	62.3
PBT	-8.7	-88.4	60.5	51.9
HSBC EPS	-71.2	-172.1		127.6
Ratios (%)				
Revenue/IC (x)	1.8	0.6	0.6	0.7
ROIC	103.3	17.3	16.2	24.1
ROE	14.1	-9.8	2.0	4.2
ROA	35.3	4.2	6.4	8.9
EBITDA margin	85.3	45.0	42.5	51.4
Operating profit margin	83.2	43.1	40.4	49.7
EBITDA/net interest (x)	62.7	18.9	17.5	27.9
Net debt/equity	1.6	0.2	-4.9	-12.3
Net debt/EBITDA (x)	0.0	0.0	-0.5	-0.9
CF from operations/net debt	2484.7	6998.3		
Per share data (CNY)				
EPS Rep (diluted)	4.44	-3.20	0.70	1.59
HSBC EPS (diluted)	4.44	-3.20	0.70	1.59
DPS	1.35	0.00	0.00	0.34
Book value	32.46	32.91	35.81	40.22

Key forecast drivers

Year to	12/2023a	12/2024e	12/2025e	12/2026e
Concentrate sales volume (kt)	845	788	825	987
Concentrate price '000 RMB/ton	32	7	7	8
Refined sales volume (kt)	57	82	86	86
Refined price '000 RMB/ton	234	94	85	112

Valuation data

Year to	12/2023a	12/2024e	12/2025e	12/2026e
EV/sales	0.6	1.6	1.4	0.8
EV/EBITDA	0.7	3.5	3.3	1.6
EV/IC	0.9	0.9	0.8	0.5
PE*	5.2	nm	32.8	14.4
PB	0.7	0.7	0.6	0.6
FCF yield (%)	34.7	11.2	6.4	9.8
Dividend yield (%)	5.9	0.0	0.0	1.5

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2023a	Governance Indicators	12/2024a
GHG emission intensity*	47.6	No. of board members	8
Energy intensity*	148.6	Average board tenure (years)	7.6
CO ₂ reduction policy	Yes	Female board members (%)	50
Social Indicators		Board members independence (%)	50
Employee costs as % of revenues	2.6		
Employee turnover (%)	[n/a]		
Diversity policy	Yes		

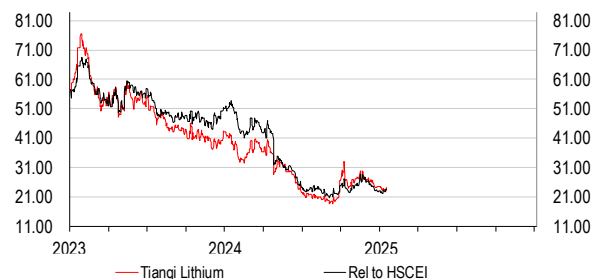
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (HKD)	24.40	Free float	64%
Target price (HKD)	34.00	Sector	Metals & Mining
RIC (Equity)	9696.HK	Country/Region	China
Bloomberg (Equity)	9696 HK	Analyst	Howard Lau, CFA
Market cap (USDm)	7,173	Contact	+852 2996 6625

Price relative



Source: HSBC

Note: Priced at close of 16 Jan 2025

Financials & valuation: Tianqi Lithium A

Buy

Financial statements

Year to	12/2023a	12/2024e	12/2025e	12/2026e
Profit & loss summary (CNYm)				
Revenue	40,448	13,221	12,941	17,066
EBITDA	34,488	5,946	5,498	8,777
Depreciation & amortisation	-846	-249	-270	-290
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Total assets	74,969	75,289	79,786	86,890
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Gross debt	10,481	10,481	10,481	10,481
Net debt	913	113	-2,974	-8,227
Shareholders' funds	53,209	53,957	58,715	65,939
Invested capital	24,647	22,030	23,715	26,084

Ratio, growth and per share analysis

Year to	12/2023a	12/2024e	12/2025e	12/2026e
Y-o-y % change				
Revenue	0.7	-67.3	-2.1	31.9
EBITDA	0.4	-82.8	-7.5	59.6
Operating profit	-0.1	-83.1	-8.2	62.3
PBT	-8.7	-88.4	60.5	51.9
HSBC EPS	-71.2	-172.1		127.6
Ratios (%)				
Revenue/IC (x)	1.8	0.6	0.6	0.7
ROIC	103.3	17.3	16.2	24.1
ROE	14.1	-9.8	2.0	4.2
ROA	35.3	4.2	6.4	8.9
EBITDA margin	85.3	45.0	42.5	51.4
Operating profit margin	83.2	43.1	40.4	49.7
EBITDA/net interest (x)	62.7	18.9	17.5	27.9
Net debt/equity	1.6	0.2	-4.9	-12.3
Net debt/EBITDA (x)	0.0	0.0	-0.5	-0.9
CF from operations/net debt	2484.7	6998.3		
Per share data (CNY)				
EPS Rep (diluted)	4.44	-3.20	0.70	1.59
HSBC EPS (diluted)	4.44	-3.20	0.70	1.59
DPS	1.35	0.00	0.00	0.34
Book value	32.46	32.91	35.81	40.22

Key forecast drivers

Year to	12/2023a	12/2024e	12/2025e	12/2026e
Concentrate sales volume (t)	845	788	825	0
Concentrate price '000 RMB/ton	32	7	7	0
Refined sales volume (t)	57	82	86	0
Refined price '000 RMB/ton	234	94	85	0

Valuation data

Year to	12/2023a	12/2024e	12/2025e	12/2026e
EV/sales	0.6	1.6	1.4	0.8
EV/EBITDA	0.7	3.5	3.3	1.6
EV/IC	0.9	0.9	0.8	0.5
PE*	7.4	nm	47.2	20.7
PB	1.0	1.0	0.9	0.8
FCF yield (%)	34.7	11.2	6.4	9.8
Dividend yield (%)	4.1	0.0	0.0	1.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2023a	Governance Indicators	12/2024a
GHG emission intensity*	47.6	No. of board members	8
Energy intensity*	148.6	Average board tenure (years)	7.6
CO ₂ reduction policy	Yes	Female board members (%)	50
Social Indicators		Board members independence (%)	50
Employee costs as % of revenues	2.6		
Employee turnover (%)	[n/a]		
Diversity policy	Yes		

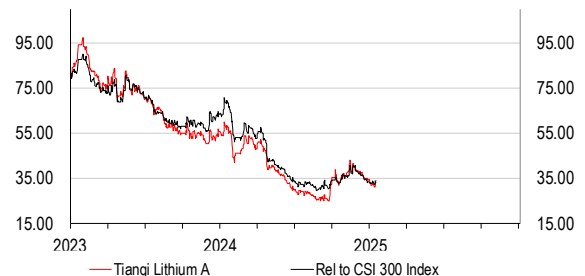
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (CNY)	33.05	Free float	65%
Target price (CNY)	46.00	Sector	Metals & Mining
RIC (Equity)	002466.SZ	Country/Region	China
Bloomberg (Equity)	002466 CH	Analyst	Howard Lau, CFA
Market cap (USDm)	7,173	Contact	+852 2996 6625

Price relative



Source: HSBC

Note: Priced at close of 16 Jan 2025

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Howard Lau, CFA and Santhosh Seshadri, CFA

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 31 December 2024, the distribution of all independent ratings published by HSBC is as follows:

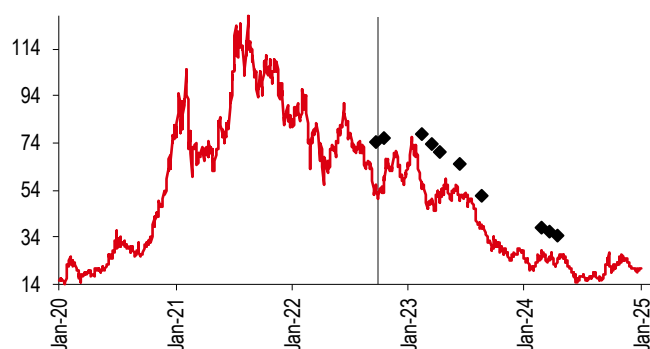
Buy	55%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	39%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	7%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

Share price and rating changes for long-term investment opportunities

Ganfeng Lithium (1772.HK) share price performance HKD Vs HSBC rating history



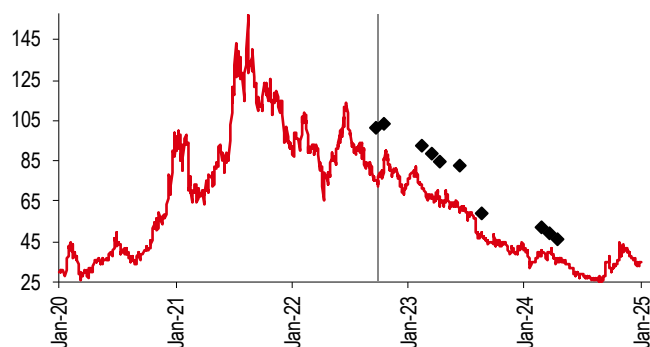
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau
Target price	Value	Date	Analyst
Price 1	74.00	09 Oct 2022	Howard Lau
Price 2	76.00	31 Oct 2022	Howard Lau
Price 3	77.00	27 Feb 2023	Howard Lau
Price 4	73.00	31 Mar 2023	Howard Lau
Price 5	70.00	28 Apr 2023	Howard Lau
Price 6	65.00	28 Jun 2023	Howard Lau
Price 7	51.00	05 Sep 2023	Howard Lau
Price 8	38.00	13 Mar 2024	Howard Lau
Price 9	36.00	03 Apr 2024	Howard Lau
Price 10	34.00	30 Apr 2024	Howard Lau

Source: HSBC

Ganfeng Lithium A (002460.SZ) share price performance CNY Vs HSBC rating history



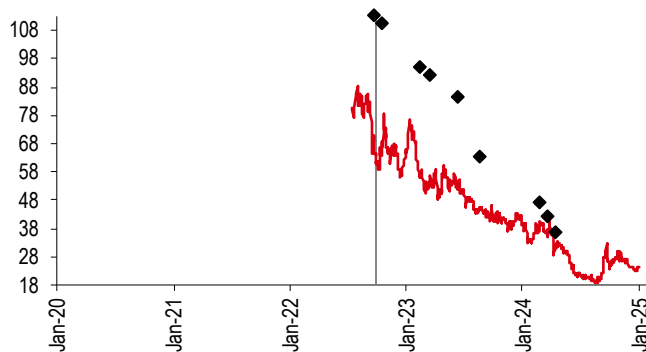
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau
Target price	Value	Date	Analyst
Price 1	101.00	09 Oct 2022	Howard Lau
Price 2	103.00	31 Oct 2022	Howard Lau
Price 3	92.00	27 Feb 2023	Howard Lau
Price 4	88.00	31 Mar 2023	Howard Lau
Price 5	84.00	28 Apr 2023	Howard Lau
Price 6	82.00	28 Jun 2023	Howard Lau
Price 7	58.00	05 Sep 2023	Howard Lau
Price 8	52.00	13 Mar 2024	Howard Lau
Price 9	49.00	03 Apr 2024	Howard Lau
Price 10	46.00	30 Apr 2024	Howard Lau

Source: HSBC

Tianqi Lithium (9696.HK) share price performance HKD Vs HSBC rating history



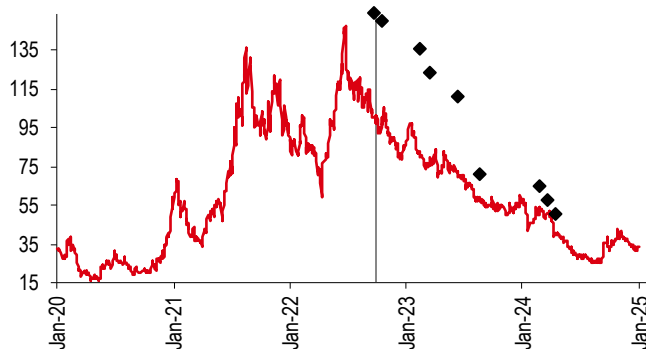
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau
Target price	Value	Date	Analyst
Price 1	113.00	09 Oct 2022	Howard Lau
Price 2	110.00	31 Oct 2022	Howard Lau
Price 3	95.00	27 Feb 2023	Howard Lau
Price 4	92.00	31 Mar 2023	Howard Lau
Price 5	84.00	28 Jun 2023	Howard Lau
Price 6	63.00	05 Sep 2023	Howard Lau
Price 7	47.00	13 Mar 2024	Howard Lau
Price 8	42.00	03 Apr 2024	Howard Lau
Price 9	36.00	30 Apr 2024	Howard Lau

Source: HSBC

Tianqi Lithium A (002466.SZ) share price performance CNY Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau
Target price	Value	Date	Analyst
Price 1	154.00	09 Oct 2022	Howard Lau
Price 2	150.00	31 Oct 2022	Howard Lau
Price 3	135.00	27 Feb 2023	Howard Lau
Price 4	123.00	31 Mar 2023	Howard Lau
Price 5	111.00	28 Jun 2023	Howard Lau
Price 6	71.00	05 Sep 2023	Howard Lau
Price 7	64.00	13 Mar 2024	Howard Lau
Price 8	57.00	03 Apr 2024	Howard Lau
Price 9	50.00	30 Apr 2024	Howard Lau

Source: HSBC

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HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
GANFENG LITHIUM	1772.HK	21.00	16 Jan 2025	7, 11
GANFENG LITHIUM A	002460.SZ	35.06	16 Jan 2025	7, 11
TIANQI LITHIUM	9696.HK	24.40	16 Jan 2025	4, 7, 11
TIANQI LITHIUM A	002466.SZ	33.05	16 Jan 2025	4, 7, 11

Source: HSBC

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MDDI (P) 005/01/2025, MDDI (P) 006/09/2024, MDDI (P) 004/10/2024, MDDI (P) 020/10/2024

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